Wharfside Developments Pty Ltd
Strictly private and confidential

The Wharf Residences Information Memorandum

A$61.0 million senior secured construction facility, 18 Riverside Road, East Fremantle

Prepared by Wharfside Developments Pty Ls and related entities
Prepared for prospective senior secured lenders
Version 1.0, 12 February 2024
Strictly private and confidential
Reference: WSD/IM/WR-2024-01
Date: 12 February 2024

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	The Wharf Residences Pty Ltd
ABN	18 209 165 833
Registered office	Level 5, 28 Mouat Street, Fremantle WA 6160
Property	18 Riverside Road, East Fremantle WA 6158
Facility sought	A$61.0 million senior secured construction facility, 27 month tenor
Sponsor	Wharfside Developments Pty Ltd and related entities (Wharfside Group)
Prepared by	Wharfside Group, with Tarrant & Lowe Capital Advisory
Prepared for	Prospective senior lenders
Date and version	12 February 2024, Version 1.0

Transaction details

1. Important notice

This information memorandum has been prepared by Wharfside Developments Pty Ltd and related entities (Wharfside Group) for the sole purpose of assisting prospective lenders to assess a senior secured construction facility to The Wharf Residences Pty Ltd (the Borrower). It does not constitute an offer, a commitment to lend or a recommendation, and it does not replace the independent due diligence that each lender should undertake.

The memorandum is issued on 12 February 2024. Several supporting third party reports are scheduled for delivery after that date, including the Group financial statements (23 February 2024), the independent valuation by Kinross Hale Valuers (8 March 2024), the quantity surveyor's report by Pellegrini Dunmore Quantity Surveyors (15 March 2024) and management accounts (20 March 2024). Where this memorandum states a value, cost or sales outcome, it is the Group's own assessment unless it is expressly attributed to a third party, and lenders should rely on the final reports once issued. Sales information is presented on the basis that remaining contract exchanges complete by 29 February 2024. All amounts are in Australian dollars. Forecasts are estimates and are not guarantees of future performance.

2. Executive summary

2.1 The opportunity

The Borrower is a single-purpose vehicle established by Wharfside Developments to deliver The Wharf Residences, a 96-apartment, six-storey residential building at 18 Riverside Road, East Fremantle. The site is 4,200 square metres with a river frontage and was acquired in March 2022. Development approval was granted by the Metropolitan Joint Development Assessment Panel on 24 August 2023, and construction will be carried out under a fixed-price design and construct contract with Corvale Construction Pty Ltd for A$74.6 million.

The Group seeks a senior secured construction facility with a limit of A$61.0 million and a tenor of 27 months. The facility will fund hard construction costs, professional fees, approvals and capitalised finance costs. Land and initial costs have been funded by sponsor equity. The Borrower has no operating revenue before settlement, so repayment will come entirely from net proceeds of apartment settlements following practical completion, forecast for the first half of 2026.

2.2 Investment highlights

- Conservative leverage: the facility represents 61.0% of total development cost of A$100.0 million and 48.9% of the gross realisation value (GRV) of A$124.8 million.

- Substantial sponsor equity: A$39.0 million, or 39.0% of total development cost, sits behind the senior debt and is to be contributed ahead of the first drawdown.
- Strong presales: 60 of 96 apartments are contracted, representing 62.5% of units and of GRV by value (A$78.0 million), with A$7.8 million of deposits held in the solicitor's trust account.
- Presales cover the facility: contracted sales of A$78.0 million are 1.28 times the A$61.0 million facility limit before selling costs.
- Fixed-price construction: the design and construct contract transfers construction cost and programme risk to the builder, subject to the contract's variation and extension of time provisions.
- Planning certainty: development approval is in place for the 96-unit scheme, and the sales campaign has been running since November 2023.
- Forecast net profit before tax of A$21.7 million, equal to 21.7% on total development cost.

2.3 Summary of the request

Facility type	Senior secured construction facility (cost-to-complete, with a separate interest and fee capitalisation allowance)
Facility limit	A$61.0 million
Tenor	27 months from first drawdown
First drawdown (target)	June 2024
Scheduled maturity	September 2026
Indicative pricing	1-month BBSW plus 6.25% per annum
Establishment fee	1.75% of the facility limit (A$1.07 million)
Line fee	1.00% per annum on undrawn commitments
Exit fee	0.50% on repayment after the scheduled maturity date
Repayment source	Net settlement proceeds of apartment sales

Summary of proposed facility terms. Pricing is indicative and subject to credit approval.

3. The facility request

3.1 Purpose and structure

The facility will fund hard construction costs, professional fees, approvals and capitalised finance costs for the project. It has two components within the A$61.0 million limit:

- Cost-to-complete tranche of A$55.3 million, available for progress claims certified by the lender's quantity surveyor, professional fees and approvals.
- Interest and fee capitalisation allowance of A$5.7 million, which funds interest, line fees and the establishment fee as they fall due, so that the Borrower is not required to meet finance costs from other sources during construction.

The cost-to-complete tranche of A$55.3 million, together with A$24.5 million of cash equity, funds the A$79.8 million of construction contract, professional fee, approval and other project costs still to be incurred. The Group will fund its equity first. No debt will be drawn until the equity contribution has been applied to project costs and verified by the lender's quantity surveyor.

3.2 Pricing

The Group proposes pricing of 1-month BBSW plus a margin of 6.25% per annum, a 1.75% establishment fee, a 1.00% per annum line fee on undrawn commitments and a 0.50% exit fee payable only if the facility is repaid after the scheduled maturity date. Pricing is subject to credit approval and to the outcome of lender due diligence. The finance cost allowance of A$5.7 million in the development budget has been sized on the assumption of a drawn profile consistent with the forecast in section 8, and a floating rate assumption that is tested in section 11.

3.3 Tenor and repayment

The tenor of 27 months comprises the 22 month construction period and a five month settlement period after practical completion. On the programme, first drawdown in June 2024 leads to practical completion in about April 2026, with settlements occurring from May 2026 and the facility fully repaid before scheduled maturity in September 2026. Apartment sale proceeds will be applied to the facility through a controlled account. The Group proposes a release price regime under which no lot is released from security until a minimum proportion of its net sale proceeds is applied to the facility.

4. The project

4.1 Site and location

The site at 18 Riverside Road, East Fremantle WA 6158 has an area of 4,200 square metres and a river frontage. Wharfside Developments acquired it on 17 March 2022 for A$13.2 million through a Wharfside-owned entity, and the site was later transferred to the Borrower. It is contributed to the project at A$14.5 million, the difference from the purchase price reflecting acquisition costs, approvals and holding costs, which the independent valuation is intended to confirm. The river setting supports the project's market positioning and also drives the environmental conditions discussed in section 10.

4.2 The building

The Wharf Residences is a six-storey building of 96 apartments in a mix of one, two and three bedroom layouts. Two levels of basement provide 138 car bays, or about 1.44 bays per apartment. Communal facilities include a rooftop terrace and a boat-owner storage area designed for residents with river access. The scheme is directed at owner-occupiers and investors.

Metric	Value
Apartments	96
Site area	4,200 sqm
Gross floor area (GFA)	12,650 sqm
Net saleable area (NSA)	8,900 sqm
NSA to GFA efficiency	70.4%
Average NSA per apartment	92.7 sqm
Car bays	138
Average GRV per apartment	A$1.30 million
Average GRV per sqm of NSA	A$14,022
Construction contract per sqm of GFA	A$5,897

Project metrics. Per sqm figures are derived from the contract sum and the GRV.

4.3 Approvals and programme

Development approval for a 96-unit, six-storey residential building was granted by the Metropolitan Joint Development Assessment Panel on 24 August 2023. The Group will satisfy the remaining pre-commencement conditions, including the environmental management plans described in section 10, before the first drawdown. The construction period is 22 months from site establishment.

4.4 Construction

Corvale Construction Pty Ltd will build the project under a fixed-price design and construct contract of A$74.6 million, which is 74.6% of total development cost and 59.8% of GRV. The fixed-price structure places the risk of construction cost escalation on the builder, but it does not remove risk from variations, provisional sums, latent site conditions or extensions of time that the contract permits. Pellegrini Dunmore Quantity Surveyors will review the contract, budget and programme and will report by 15 March 2024. They will also certify progress claims throughout construction for lender drawdowns. The Group proposes that the builder provide performance security in a form acceptable to lenders.

5. Sponsor, Borrower and governance

5.1 The sponsor

Wharfside Developments Pty Ltd and related entities (Wharfside Group) are residential developers headquartered at Level 5, 28 Mouat Street, Fremantle. The Group has two other active projects in addition to The Wharf Residences. Audited Group financial statements prepared with Marlowe Tan Chartered Accountants are scheduled for 23 February 2024, and management accounts to 20 March 2024 will follow. The Group's schedule of completed and current projects will be available in the data room.

5.2 The Borrower

The Wharf Residences Pty Ltd (ABN 18 209 165 833) is a single-purpose vehicle that holds only the site and the project. Its registered office is Level 5, 28 Mouat Street, Fremantle WA 6160. Its only business is the delivery and sale of the project, so the lender's credit exposure is not mixed with other Group activities. It has no operating revenue before settlement.

5.3 Directors

Director	Role
Callum R. Whitford	Executive Director and Chief Executive Officer, Wharfside Developments
Priya Anand	Director and Chief Financial Officer, Wharfside Developments
Graham T. Ostrowski	Non-executive Director, independent of Wharfside management

Directors of The Wharf Residences Pty Ltd

Mr Ostrowski's appointment as an independent non-executive director provides oversight of related party dealings between the Borrower and other Group entities, including the transfer of the site from the original acquiring entity. The Group is willing to discuss lender nomination rights over a board observer or other reporting arrangements during the term.

6. Sales and market

6.1 Sales campaign

The sales campaign launched on 4 November 2023 through the onsite display suite, managed by Harbourline Property Group. Twenty-four contracts were exchanged in the first eight weeks. On the basis that remaining exchanges complete by 29 February 2024, 60 of 96 apartments (62.5%) will be contracted, representing A$78.0 million or 62.5% of GRV by value, at an average of A$1.30 million per apartment. Deposits of A$7.8 million, equal to 10% of contracted value, are held in the solicitor's trust account and will not be released to the Borrower before settlement unless lenders agree otherwise.

Sales position	Units	Value (A$M)	% of GRV
Contracted presales	60	78.0	62.5
Unsold stock	36	46.8	37.5
Total	**96**	**124.8**	**100.0**

Presales position, assuming exchanges are complete by 29 February 2024

6.2 Pricing evidence

The GRV of A$124.8 million assumes an average of A$1.30 million per apartment. The Group acknowledges that this is above recent East Fremantle apartment evidence, and attributes the premium to the river frontage, the rooftop terrace, boat storage and the new-build specification. Lenders should consider the independent valuation from Kinross Hale Valuers, due on 8 March 2024, as the primary test of this assumption. The 60 contracted sales provide direct evidence of buyer acceptance at the assumed average, but they are not independent of the Group's pricing strategy and have yet to be tested at settlement valuation.

6.3 Buyers

The building targets owner-occupiers, including downsizers and buyers attracted to river access, and investors. Buyers will be required to settle on registration of the strata plan following practical completion. Standard contracts permit the Borrower to rescind or claim damages for a failure to settle. The Group will provide a schedule showing deposit levels, finance conditions, buyer type and any foreign buyer status for each contract.

7. Financial summary

7.1 Sources and uses of funds

Uses	A$M	% of TDC
Land (contributed value)	14.5	14.5
Construction contract (Corvale)	74.6	74.6
Professional fees, approvals, contingency and other	5.2	5.2
Finance costs (interest and fees)	5.7	5.7
Total development cost	**100.0**	**100.0**

Total development cost

Sources	A$M	% of TDC
Senior construction facility	61.0	61.0
Sponsor equity (land A$14.5M, cash A$24.5M)	39.0	39.0
Total sources	**100.0**	**100.0**

Funding of the project

The loan to cost ratio is 61.0% and the loan to GRV ratio is 48.9%. Presale deposits of A$7.8 million are not counted as a source of funds. The Group will agree to lender requirements on the treatment of deposits and on the application of any interest earned.

7.2 Development feasibility

Item	A$M
Gross realisation value	124.8
Less total development cost	100.0
Gross development margin	24.8
Less selling and settlement costs (about 2.5% of GRV)	3.1
Forecast net profit before tax	21.7

Development feasibility. Margin on cost 21.7%; margin on GRV 17.4%.

Selling and settlement costs cover agent commissions, legal fees and related costs and are in addition to the total development cost. The net profit before tax of A$21.7 million is equal to 21.7% on total development cost and 17.4% of GRV. The Group notes that the net profit figure is an estimate and has not been independently verified at the date of this memorandum.

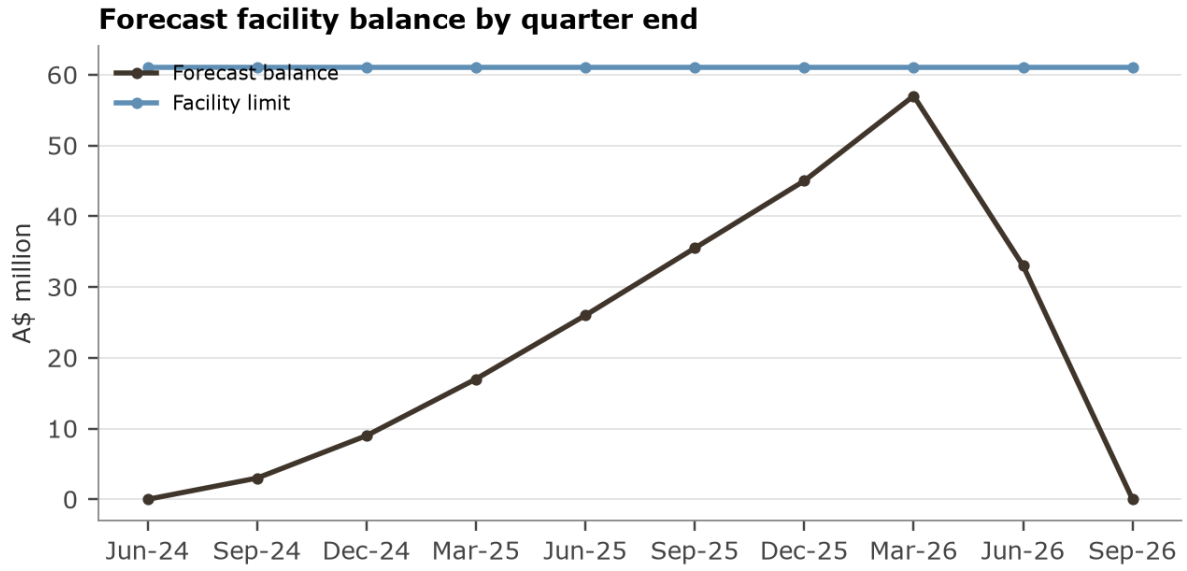
8. Security, drawdown and repayment

8.1 Proposed security package

- First ranking registered mortgage over the land at 18 Riverside Road, East Fremantle.
- General security deed over all present and after-acquired property of the Borrower.
- Assignment of the Corvale design and construct contract, performance security, warranties and consultant appointments, with a consent deed from the builder.
- Assignment of the sale contracts, with deposits remaining in the solicitor's trust account until settlement.
- Guarantee and cost overrun undertaking from Wharfside Developments Pty Ltd, with a negative pledge and subordination of related party debt.
- Full insurance cover, including construction works, public liability and professional indemnity, noting the lender's interest.

8.2 Drawdown and forecast balance

Drawdowns will be made monthly against progress claims certified by Pellegrini Dunmore Quantity Surveyors, after the Borrower's equity has been spent in full. Finance costs are capitalised within the allowance until practical completion. The chart below shows the forecast quarter-end balance, which peaks at about A$60.5 million around practical completion in April 2026 and is then repaid from settlements. This stays within the A$61.0 million limit, but with limited headroom, which makes it important to hold programme and interest costs to forecast.



Indicative quarter-end balance. Peak of about A$60.5 million is forecast in April 2026, between the Mar-26 and Jun-26 points.

8.3 Repayment

Repayment will come from net settlement proceeds. Contracted sales of A$78.0 million, less selling costs of about 2.5%, would produce roughly A$76.1 million, which is 1.25 times the facility limit. To repay the full A$61.0 million from sales proceeds alone, after the same selling costs, gross sales of about A$62.6 million would be needed, which is about 50% of GRV. The Group will seek to meet the cost of any shortfall in the settlement of presales from the sale of unsold stock, and does not plan to rely on refinancing.

9. Sensitivity analysis

The table below shows the effect on net profit and lender cover of an across-the-board fall in GRV, holding total development cost and selling costs at 2.5% of GRV. It does not model cost overruns or additional interest, which would reduce the outcomes shown.

GRV change	GRV (A$M)	Net profit (A$M)	Facility LVR (%)
Base case	124.8	21.7	48.9
Down 5%	118.6	15.6	51.5
Down 10%	112.3	9.5	54.3
Down 15%	106.1	3.4	57.5
Down 20%	99.8	(2.7)	61.1

GRV sensitivity. Net profit is after 2.5% selling costs and the full A$100.0M development cost.

The project reaches break-even at about a 17% fall in GRV. Because 62.5% of GRV is contracted, a fall confined to the 36 unsold apartments would have less effect. A 20% reduction in the value of unsold stock alone would reduce GRV by A$9.4 million and net profit to about A$12.6 million. The facility is repaid in full in every scenario shown, though a fall at the severe end would reduce the sponsor's return to nil and erode the cover available if costs also increase.

For interest rate exposure, a 100 basis point rise in 1-month BBSW across the whole term would add roughly A$0.6 million to finance costs, on an average drawn balance of about A$28 million. This exceeds nothing in the budget by itself, but it would draw on the contingency within the A$5.2 million of other costs if the programme also slipped. The Group will consider an interest rate

hedging requirement for part of the drawn balance.

10. Key risks and mitigants

Construction cost and delay

The fixed-price contract limits cost exposure, but builder insolvency or extensions of time could erode the contingency and push completion beyond the facility maturity of September 2026. Mitigants include independent review of the builder's financial standing, performance security, step-in rights under the consent deed, monthly QS certification of progress claims, and a sponsor cost overrun undertaking. The five month settlement window after forecast practical completion in April 2026 gives some programme allowance.

Settlement

Some 37.5% of units by value (36 apartments) remain unsold, and presale buyers may fail to settle if valuations come in below contract prices or mortgage serviceability tightens before 2026. The 10% deposits of A$7.8 million provide buyers with a financial incentive to settle, and the Group will have recourse to deposits and to resale. Harbourline Property Group will report buyer finance status quarterly, and the Group will agree a minimum presale covenant.

Market pricing

The A$1.30 million average price is above recent East Fremantle apartment evidence, and a softer market would reduce proceeds on unsold stock. Mitigants include the independent valuation, a conservative LVR of 48.9% against the Group's GRV, the break-even analysis in section 9, and the ability of the Group to adjust pricing and incentives for the unsold stock.

Interest rate

The facility is floating rate, and the capitalised interest allowance may be insufficient if BBSW stays elevated or programme delays extend the drawn period. The A$5.7 million allowance is a fixed amount, so any shortfall would need to be met from the Group. Mitigants include partial hedging, the interest shortfall undertaking and the Group's equity-first commitment.

Sponsor concentration

Wharfside Developments has two other active projects, which may limit its capacity to provide further equity support if costs overrun. The Group will provide a consolidated cash flow forecast and contingent liability schedule, and will discuss minimum liquidity and net asset covenants for the guarantor.

Environmental and site

The river-fronting location requires continued compliance with Department of Water and Environmental Regulation conditions, including acid sulfate soil and groundwater management during basement excavation. The two basement levels carry the main exposure. Mitigants include approved management plans before commencement, the builder's responsibility for dewatering and disposal under the contract, and appropriate insurance.

11. Proposed covenants and conditions

Item	Proposed term
Maximum LVR	Facility not above 55% of the independent as-if-complete value
Minimum presales	60 apartments contracted, with deposits of at least 10%
Equity first	A$39.0M contributed and verified before first drawdown
Cost to complete	Remaining budget not above undrawn commitment, per QS
Programme	Practical completion by a long-stop date agreed with lenders
Release prices	Minimum net proceeds applied to the facility per lot
Reporting	Monthly QS and sales reports, quarterly management accounts

Indicative covenants. Terms are for negotiation with lenders.

11.1 Conditions precedent

- Independent valuation from Kinross Hale Valuers and QS report from Pellegrini Dunmore satisfactory to lenders.
- Executed security documents, guarantee, consent deed and builder's performance security.
- Evidence of the A$39.0 million equity contribution and satisfaction of environmental conditions needed to start excavation.
- Presale contract schedule and trust account confirmation from Ashgrove Whitlam Lawyers.
- Insurance certificates, and audited Group financial statements from Marlowe Tan Chartered Accountants.

12. Process and timetable

Date	Milestone
12 February 2024	Information memorandum issued
23 February 2024	Group financial statements scheduled
29 February 2024	Presale exchanges targeted at 60 apartments
8 March 2024	Valuation by Kinross Hale Valuers
15 March 2024	QS report by Pellegrini Dunmore
20 March 2024	Management accounts
12 April 2024	Indicative term sheet targeted from Quillwood Credit Partners
June 2024	Target first drawdown
September 2026	Scheduled maturity

Indicative timetable. Dates after 12 February 2024 are targets.

The Group has held preliminary discussions with Quillwood Credit Partners and invites other lenders to submit indicative terms. Lenders will be given access to a data room that holds the contracts, approvals, sales schedule and reports described above.

13. Advisers

Role	Firm
Valuer	Kinross Hale Valuers (Perth)
Quantity surveyor	Pellegrini Dunmore Quantity Surveyors
Auditor	Marlowe Tan Chartered Accountants
Borrower's legal adviser	Ashgrove Whitlam Lawyers
Builder	Corvale Construction Pty Ltd
Sales agent	Harbourline Property Group
Financial adviser	Tarrant & Lowe Capital Advisory

Project advisers

Enquiries should be directed to Priya Anand, Director and Chief Financial Officer, at the registered office, Level 5, 28 Mouat Street, Fremantle WA 6160, or to Tarrant & Lowe Capital Advisory. This memorandum has been approved for release by the directors of The Wharf Residences Pty Ltd.